

Meta Platforms (META) – Equity Research Report

Investment Thesis

Meta Platforms is a high-margin, cash-generative digital advertising business leveraging AI to enhance ad targeting and monetisation. The company benefits from strong network effects and continues to expand margins through cost discipline.

Business Overview

Meta operates Facebook, Instagram, and WhatsApp. Revenue is primarily driven by digital advertising, supported by user engagement and data-driven targeting capabilities.

Financial Performance

Revenue growth has rebounded due to improved ad demand and AI-driven targeting. Operating margins have expanded following cost optimization initiatives. Free cash flow remains strong, supporting buybacks and capital investments.

Catalysts

- AI-driven advertising efficiency - Growth in Reels monetisation - Continued cost discipline

Risks

- Reality Labs losses - Regulatory scrutiny - Advertising cyclicality

Valuation

DCF assumptions: FCF: \$40B | Growth: 8% | Discount rate: 10% | Terminal growth: 3% Estimated intrinsic value suggests upside potential depending on market pricing.

Conclusion

Rating: BUY Meta remains well-positioned due to strong cash generation, AI-driven growth, and dominant market position.

Metric	Value
Free Cash Flow	\$40B
Growth Rate	8%
Discount Rate	10%
Terminal Growth	3%